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Canyon US Real Estate Debt Fund III ("CRED III")  
Q1 2025 Investor Reporting

# CRED III Q1 2025 Update

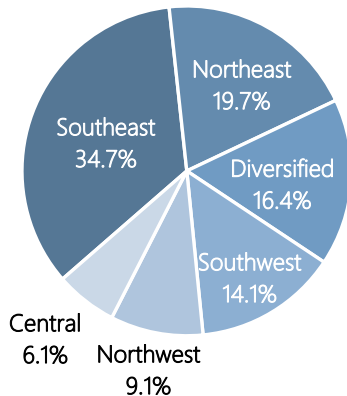
## Performance

- CRED III has committed \$409.8M across 16 closed investments and 1 executed term sheet.
- The Fund is tracking to a 9.7% weighted average current pay over the last year.<sup>1</sup>
- 2 realizations to date, returning 11% of capital back to investors.

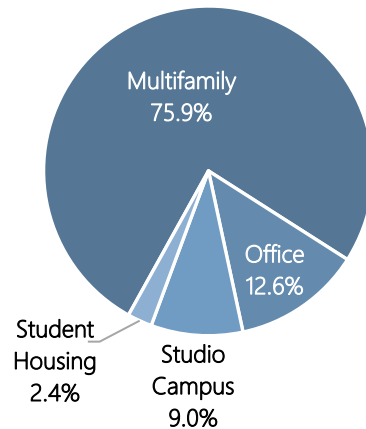
| Performance Overview                            |                   |                |
|-------------------------------------------------|-------------------|----------------|
|                                                 | December 31, 2024 | March 31, 2025 |
| Wtd. Avg. Deal-Level Gross/Net IRR <sup>2</sup> | 15.2% / 11.6%     | 15.5% / 11.8%  |
| Wtd. Avg. Deal-Level Gross/Net EM <sup>2</sup>  | 1.44x / 1.31x     | 1.43x / 1.31x  |

## Portfolio Composition<sup>3</sup>

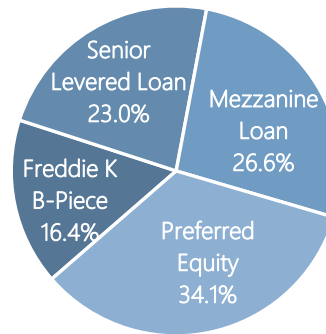
Geographic Breakdown



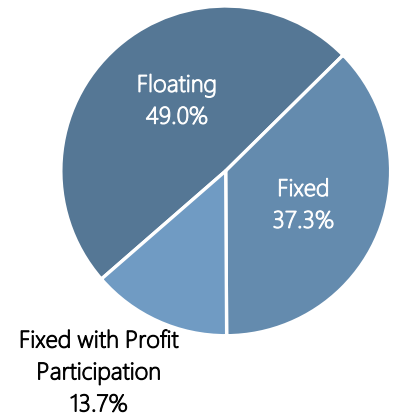
Property Type



Investment Type



Fixed vs. Floating



<sup>1</sup> Current pay as of 3/31/2025. Please see Slide Specific Footnotes. <sup>2</sup> For performance returns and net returns calculation methodology disclosures, please see Slide Specific Footnotes. <sup>3</sup> Includes closed and executed term sheet investments as of 3/31/2025.

# CRED III Investment & Capital Activity

| Investment Activity Overview                                               |                   |                |
|----------------------------------------------------------------------------|-------------------|----------------|
|                                                                            | December 31, 2024 | March 31, 2025 |
| # of Closed Investments                                                    | 16                | 16             |
| Total Capital Committed to Closed Investments                              | \$357.3           | \$357.3        |
| <i>% of Capital Committed to Closed Investments*</i>                       | 43.9%             | 43.9%          |
| Number of Closed + Executed Term Sheet Investments                         | 16                | 17             |
| Total Capital Committed to Closed + Executed Term Sheet Investments        | \$357.3           | \$409.8        |
| <i>% of Capital Committed to Closed + Executed Term Sheet Investments*</i> | 43.9%             | 50.4%          |
| Number of Realized Investments                                             | 2                 | 2              |

\* As a % of Fund commitments.

| Capital Activity Overview                         |                   |                |
|---------------------------------------------------|-------------------|----------------|
|                                                   | December 31, 2024 | March 31, 2025 |
| Investor Capital Commitments                      | \$813.4           | \$813.4        |
| Total Capital Called                              | \$284.4           | \$284.4        |
| <i>% of Total Capital Commitments Called</i>      | 35.0%             | 35.0%          |
| Total Distributions                               | \$72.3            | \$89.5         |
| <i>% of Total Capital Commitments Distributed</i> | 8.9%              | 11.0%          |

Note: \$ in millions. Figures may not total exactly due to rounding.

# CRED III Portfolio Detail

- Please see the table below which reflects the CRED III portfolio as of Q1 2025.
- Post Q1, CRED III closed on three senior bridge loans, one mezzanine loan, and signed three additional executed term sheet investments, which will be reflected in Q2 2025 reporting.

| Investment                 | Closing Date | Investment Type     | Property Type   | City        | State       | CRED III Allocation |
|----------------------------|--------------|---------------------|-----------------|-------------|-------------|---------------------|
| Closed                     |              |                     |                 |             |             |                     |
| 1 KF134 B Piece            | Apr-22       | Security            | Multifamily     | Diversified | Diversified | \$25.7              |
| 2 365 Bond Mezz B          | Sep-22       | Mezzanine Loan      | Multifamily     | Brooklyn    | NY          | \$29.1              |
| 3 KF145 B Piece            | Nov-22       | Security            | Multifamily     | Diversified | Diversified | \$19.4              |
| 4 35 Stone                 | Nov-22       | Mezzanine Loan      | Office          | Seattle     | WA          | \$27.3              |
| 5 South Tryon Flats        | Dec-22       | Preferred Equity    | Multifamily     | Charlotte   | NC          | \$20.0              |
| 6 Parkstone at Indian Land | Jan-23       | Preferred Equity    | Multifamily     | Indian Land | SC          | \$14.8              |
| 7 KF151 B Piece            | Feb-23       | Security            | Multifamily     | Diversified | Diversified | \$21.9              |
| 8 Wynhouse                 | Jun-23       | Senior Levered Loan | Multifamily     | Miami       | FL          | \$18.0              |
| 9 Sunnyside Studio Campus  | Jul-23       | Senior Levered Loan | Studio Campus   | Queens      | NY          | \$37.0              |
| 10 One22One                | Aug-23       | Senior Levered Loan | Office          | Nashville   | TN          | \$24.5              |
| 11 Navona                  | Oct-23       | Preferred Equity    | Multifamily     | Mesa        | AZ          | \$31.2              |
| 12 Towerview at Ballantyne | Feb-24       | Preferred Equity    | Multifamily     | Charlotte   | NC          | \$12.6              |
| 13 745 4th Avenue          | Mar-24       | Senior Levered Loan | Multifamily     | Brooklyn    | NY          | \$14.7              |
| 14 The Valiant             | Sep-24       | Preferred Equity    | Student Housing | Berkeley    | CA          | \$10.0              |
| 15 Aer Lamar               | Nov-24       | Preferred Equity    | Multifamily     | Austin      | TX          | \$24.8              |
| 16 Inspire Sonoran Desert  | Dec-24       | Preferred Equity    | Multifamily     | Phoenix     | AZ          | \$26.4              |
| Executed Term Sheet        |              |                     |                 |             |             |                     |
| 17 2900 Terrace            | Jun-25*      | Mezzanine Loan      | Multifamily     | Miami       | FL          | \$52.5              |
| Total                      |              |                     |                 |             |             | \$409.8             |

\* Executed term sheet investment closed in June 2025..

# CRED III Portfolio Detail (continued)

| Investment                  | Est. Gross IRR <sup>1</sup> | Est. Gross EM <sup>1</sup> | Wtd. Avg. LTV | Wtd. Avg. LTC | Realization Status  | Actual / Estimated Exit Date |
|-----------------------------|-----------------------------|----------------------------|---------------|---------------|---------------------|------------------------------|
| Closed                      |                             |                            |               |               |                     |                              |
| 1 KF134 B Piece             | 12.5%                       | 1.55x                      | 56.8%         | 47.9%         | Unrealized          | Mar-32                       |
| 2 365 Bond Mezz B           | 11.3%                       | 1.14x                      | 72.3%         | 72.1%         | Realized            | Dec-23                       |
| 3 KF145 B Piece             | 19.2%                       | 2.14x                      | 52.9%         | 48.5%         | Unrealized          | Jun-32                       |
| 4 35 Stone                  | 14.7%                       | 1.33x                      | 68.1%         | 80.0%         | Unrealized          | May-26                       |
| 5 South Tryon Flats         | 14.3%                       | 1.31x                      | 59.8%         | 73.9%         | Unrealized          | Dec-25                       |
| 6 Parkstone at Indian Land  | 14.4%                       | 1.22x                      | 61.7%         | 80.8%         | Realized            | Dec-24                       |
| 7 KF151 B Piece             | 20.1%                       | 1.99x                      | 47.6%         | 46.3%         | Unrealized          | Jun-32                       |
| 8 Wynhouse                  | 13.8%                       | 1.23x                      | 64.5%         | 65.7%         | Unrealized          | Jun-26                       |
| 9 Sunnyside Studio Campus   | 16.1%                       | 1.39x                      | 53.8%         | 65.0%         | Unrealized          | Jul-27                       |
| 10 One22One                 | 14.8%                       | 1.23x                      | 57.6%         | 66.9%         | Unrealized          | Aug-25                       |
| 11 Navona                   | 15.0%                       | 1.48x                      | 70.3%         | 75.1%         | Unrealized          | Apr-27                       |
| 12 Towerview at Ballantyne  | 14.1%                       | 1.61x                      | 65.7%         | 65.7%         | Unrealized          | Feb-28                       |
| 13 745 4th Avenue           | 15.0%                       | 1.29x                      | 56.1%         | 62.1%         | Unrealized          | Mar-27                       |
| 14 The Valiant              | 17.3%                       | 1.40x                      | 60.3%         | 78.7%         | Unrealized          | Mar-27                       |
| 15 Aer Lamar                | 16.5%                       | 1.56x                      | 59.4%         | 77.9%         | Unrealized          | Jun-28                       |
| 16 Inspire Sonoran Desert   | 15.8%                       | 1.34x                      | 59.9%         | 74.7%         | Unrealized          | Sep-28                       |
| Executed Term Sheet         |                             |                            |               |               |                     |                              |
| 17 2900 Terrace*            | 17.1%                       | 1.35x                      | -             | 78.1%         | Executed Term Sheet | -                            |
| <b>Total / Wtd. Average</b> | <b>15.5%</b>                | <b>1.43x</b>               | <b>60.6%</b>  | <b>68.9%</b>  |                     |                              |

\* Executed term sheet investment closed in June 2025..

Note: \$ in millions. Figures may not total exactly due to rounding. Gray highlighting indicates realization. <sup>1</sup>Returns for closed investments are as of 3/31/2025. For important performance returns, please see Slide Specific Footnotes. Except where indicated as gross, returns are presented net of fees and projected expenses. <sup>2</sup> The returns presented herein anticipate the use of leverage, which has inherent risk and where employed will magnify any potential gains or losses experience by the Fund and/or investment.

# Slide Specific Footnotes

## General Performance Returns Disclosure

Pursuant to amended Rule 206(4)-1 under the Investment Advisers Act (the "Marketing Rule"), all gross extracted and/or hypothetical performance, including targets and projections, within this document must be presented alongside a demonstrative hypothetical net return. In order to address certain anomalies associated with creating a hypothetical net return, we have adjusted certain calculations to more accurately reflect our expected net returns.

As a general matter, the Fund or platform level spreads are applied to underlying investments as a relative percentage change from gross to net for IRRs and equity multiples.

The Fund or platform level's gross to net profit percentage change is applied to the investment's gross IRR to calculate the net IRR (for example, for a Fund with a gross IRR of 20% and net IRR of 15%, the spread would be calculated as  $(20\%-15\%)/20\%=25\%$ . When an investment is profitable, the Fund's relative spread is multiplied by the gross investment IRR, the result of which is deducted from the gross investment IRR to determine the net investment IRR. When an investment is not profitable, the Fund's relative spread is multiplied by the gross investment IRR, the result of which is added to the gross investment IRR to determine the net investment IRR).

Where an Investment is profitable (gross equity multiple is 1.0x and above), consistent with the IRR methodology, the Fund or platform level's gross to net profit percentage change is applied to the Investment's profit to calculate the net equity multiple (for example, for a Fund with a 1.25x gross equity multiple and 1.15x net equity multiple, the spread would be calculated as  $(1.25-1.15)/(1.25-1)=40\%$ . The 40% relative spread would thereby be applied to profit portion of gross positive returns to calculate hypothetical net returns for underlying investments). Where an investment is not profitable (gross equity multiple is less than 1.0x), the Fund or platform level's gross to net percentage change is applied to the Investment's gross equity multiple to calculate the net equity multiple (for example, for the same fund profile previously noted, the spread would be calculated as  $(1.25-1.10)/1.25=12\%$ . The 12% relative spread would thereby be applied the gross equity multiple to calculate a hypothetical net return for such unprofitable underlying investments).

In reviewing net returns for reasonableness, where the net equity multiple is positive and the IRR is negative, the Fund or platform's absolute spread is used in order to calculate the net IRR. Conversely, if the net equity multiple is negative and the IRR is positive, the Fund or platform's absolute spread is used in order to calculate the corresponding net IRR.

Please refer to the performance disclosures for specific products and/or return profiles for further information about our net return calculation methodologies.

Past performance is not indicative of future results. All returns presented herein for unrealized investments or Funds which include unrealized investments are target returns. There can be no assurance that such targets will be achieved or that investments will be profitable once realized. Actual results may be materially different from those presented herein. Any investment involves significant risk, including loss of some or all of an investment. Please also refer to the Target Returns disclosure below for further information on how target returns are calculated. Unless otherwise indicated, returns are gross and do not reflect modeled Fund fees and projected expenses. Complete fund, platform and/or account performance records are available upon request.

## CRED III Target Returns

The returns presented herein include unrealized and/or prospective investments and there can be no assurance that investments will materialize and/or be profitable once realized. Actual results may be materially different from those presented herein. Any investment involves significant risk, including loss of some or all of an investment. Returns presented herein are based upon the most current Fund model. CRED III net returns have been calculated using the weighted average gross to net spread of the CRED I, II, and III models using the CRED III performance and management fee structure, and for purposes of normalizing the spread, modeled recycling values have been treated in the same manner as Fund commitments as not to artificially inflate the gross to net spread. Amongst other factors, the model returns contemplate the opportunity set which we believe will be available, prospective asset-level expenses, prevailing and projected interest rates and cap rates, construction costs, construction schedule, leasing and absorption assumptions, operating expense assumptions, real estate tax assumptions, sales assumptions, realization timing assumptions and leverage assumptions. Specifically, the Fund model assumes that after the Commitment Period, the total aggregate principal amount of any Recourse Indebtedness (excluding the Credit Facility) will not exceed 50% of the sum of (i) the aggregate Unfunded Commitments and (ii) the aggregate cost (or commitment at acquisition) of the Fund's investments (including, for this purpose, leverage in respect of such investments). In addition, the targeted net return presented herein assumes: (1) a management fee rate of 1.5% of Invested Capital, (2) a 15% incentive fee, and (3) a 16 basis point estimated expense ratio. Such modeled factors, not all of which have been described herein, have been presented for illustrative purposes only. Please see the Offering Memorandum for CRED III for a full description of the Fund's terms. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

## CRED III Investment Examples (Unrealized)

The returns presented herein include unrealized investments and there can be no assurance that investments be profitable once realized. Returns presented herein are based upon the Asset model. Amongst other factors, model returns contemplate asset-level expenses, prevailing and projected interest rates and cap rates, construction costs, construction schedule timeline, leasing and absorption assumptions, operating expense assumptions, real estate tax assumptions, sales assumptions, realization timing assumptions and leverage assumptions. The Advisor's performance and management fees are reflected, amongst other factors noted in the underlying Fund(s) methodology description(s), in the Fund Fees used to calculate net returns. Such modeled factors, not all of which have been described herein, have been presented for illustrative purposes only. Net returns presented herein have been calculated utilizing the Fund Level spread from which the underlying investment originated. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

# Slide Specific Footnotes

## **CRED III Investments (Realized)**

Net returns presented herein have been calculated utilizing the Fund Level spread from which the underlying investment originated. The Advisor's performance and management fees are reflected, amongst other factors noted in the underlying Fund(s) methodology description(s), in the Fund Fees used to calculate net returns. Complete fund and/or account performance records are available upon request. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

## **Current Pay Footnote**

Current Pay is based on trailing 12 month Fund cash flows. Current Pay is calculated as the weighted average (weighted by invested amount) of the monthly, annualized, current income generated from investment fees, senior debt interest, and subordinate debt current pay interest (not accruals) divided by the invested amount. Such information is presented for illustrative purposes only and is based upon various assumptions, not all of which are described herein. Hypothetical projections are speculative in nature, and as with all models, actual returns may vary significantly based upon the inputs.